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“I SEE ONDC AS A FORCE OF INCLUSION... IT IS NOT ABOUT HIM [SMALL RETAIL ESTABLISHMENT] DIGITISING HIS SHOP. RATHER, IT IS ABOUT PARTICIPATING IN AN ECOSYSTEM THAT ONDC WILL ENABLE”

NANDAN NILEKANI

CO-FOUNDER AND CHAIRMAN, INFOSYS

course, the business models are not exactly the same. ONDC is less a marketplace like Amazon or Flipkart, and more a gateway for consumers to reach sellers that the two marketplaces don't have, and even reach Amazon and Flipkart themselves, provided they join up.

Subathraa Vasan, Founder of Coimbatore-headquartered PVR Foods (not related to PVR Cinemas), who joined ONDC in early 2022, had told *BT* last September that she “jumped on to ONDC” on hearing the concept because the exorbitant commissions on Flipkart and Amazon were limiting her entrepreneurial

dreams. Running a millet-based food products business, Vasan says the lack of awareness of the network is crushing her hopes. “People are yet to know about ONDC,” she says. “My expectation was that it will pick up, but it's very slow. To change buying behaviours, marketing for ONDC is required. We are trying to spread the word. It is a great initiative; it will be a real boon only when sales pick up.”

Other early merchants, too, express disappointment. They are yet to see any signs of the promised benefits of discoverability and price advantages, but they remain hopeful. As Srinivasan of TVS points out, ONDC's potential for revolutionising the industry is immense, but the incentives for customers to engage with it are still uncertain. “For us [merchants], it is about getting sales,” says Aadil Shah, Co-founder of digital-first ayurvedic brand AADAR. “Honestly, we haven't found much yet. Marketplaces have skin in the game, so they will ensure you get orders. In ONDC, I don't know who the stakeholders are and what my controls are. We are a digital brand, yet we aren't able to figure it out. Now think of the plight of a smaller *kirana* owner from a Tier III city.” Shah plans to stick on with ONDC, though.

Tackling complex network participant language and structure in an open network requires patience, says Dilip Vamanan, Co-founder of SellerApp, an e-commerce seller-enablement firm. “ONDC started with a massive mission of building an e-commerce platform in less than three years,” he says. “But traditionally, even marketplaces are built in 15-20 years... The complexities were not really factored in when ONDC started.”

A segment of the ecosystem points fingers at Paytm, which was the sole buyer app for a significant period, for the slow start. The ONDC section remains quite low on the app's homepage, and the interface, search and overall buying experience are far from ideal. “The company itself has been going through major pivots and focus shifts; ONDC must be a low priority for them,” says the founder of an e-commerce firm who wishes to remain anonymous.

However, as per insiders familiar with the early days of ONDC, Paytm Founder Vijay Shekhar Sharma was the only significant player who stepped forward to join as a buyer app, while others adopted a more cautious “wait-and-see” approach. “Vijay promised to be there on Day One, and said ‘I'll have a minimal viable product at first and when I have enough merchants, I'll start advertising’.” He was instrumental to this platform being created by virtue of agreeing to come on from Day One,” says a person who was part of ONDC's early integrations. A Paytm Mall spokesperson tells *BT*, without giving specifics: “We believe ONDC is going to democratise online shopping in the country and further boost the digital economy by